AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS X EXAMINATION

MAY 2015

Principles of Accounting Paper II

Time: 2 hours 25 minutes Marks: 50

INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's signature**

2. RUBRIC. There are SEVEN questions. Answer ALL questions.

3. When answering the questions:

   Read each question carefully.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a simple calculator if you wish.

Q.1. (Total 12 Marks)

a. Below is the list of different expenditure transactions of Al-Mehran Seafood distributors. Classify the following transaction as either capital or revenue expenditure. The first has been done for your reference. (6 Marks)

S. No.	Expenditure Transactions	Classification of the Expenditure Transactions
1	**change of tyres of a delivery van**	**Revenue Expenditure**
2	overhauling of the engine of the delivery van	
3	monthly tuning charges of the delivery van	
4	printing charges of the company's logo on the new delivery van	
5	Purchase of another delivery truck	
6	purchase of laptop for record keeping	
7	sundry repairs of the delivery van	

b. Kashif & Co. purchased an electronic equipment worth Rs 750,000 on 1st January, 2012. The estimated life of the device is 10 years with salvage value of Rs 100,000.

On 1st January, 2015, the company exchanged the electronic equipment with the new one with a market value of Rs 650,000, device life of 15 years and salvage value of Rs 100,000.

The company received a trade in allowance of Rs 450,000 for the old electronic equipment and rest of the amount was paid in cash. The company's financial year ends on 31st December.

Required

i. Compute the depreciation for year 2012, 2013 and 2014 by reducing (diminishing) balance method for the electronic equipment. (4 Marks)

ii. Compute the loss or gain faced by the company during the exchange of electronic equipment. (2 Marks)

Q.2. (Total 10 Marks)

Following is the trial balance of Hakimi Enterprises for the year ended 31st December, 2014.

Particulars	Debit	Credit
Cash	15,000	
Merchandise Inventory (Opening Stock)	10,500	
Account Receivable	64,500	
Prepaid Insurance	36,000	
Office Equipment	12,000	
Allowance for Depreciation (Equipment)		1,500
Account Payable		45,000
Capital (01-01-2014)		88,000
Drawing	12,000	
Sales		160,000
Sales Return	8,000	
Purchases	90,000	
Purchases Return		5,000
Transportation-In	6,600	
Administrative Expense	10,600	
Salaries Expense	24,000	
Rent Expense	7,000	
Depreciation Expense (Office Equipment)	2,500	
Interest Payable		4,000
Pre-Paid Advertisement	4,500	
Bad Debts Expense	3,500	
Allowance for Bad Debts		2,400
Total	**306,700**	**306,700**

Data for Adjustment

- Merchandise inventory at the year end was Rs 12,500.
- Prepaid advertisement expired by Rs 1,500.
- Salaries payable are at Rs 12,000.

Required

Prepare a classified income statement

Particulars				
Sales				
Sales Returns				
Net Sales				
Cost of Goods Sold				
Merchandise Inventory				
Purchase				
Purchase Return				
Net Purchases				
Transportation-In				
Total Purchases				
Total Goods Available for Sold				
Ending Inventory				
Cost of Goods Sold				
Gross Profit				
Operating Expenditure				
Administrative Expense				
Salaries Expense				
Rent Expense				
Depreciation Expense (office equipment)				
Bad Debts Expense				
Advertisement Expense				
Total Operating Expense				
Net Income				

Q.3. (Total 4 Marks)

The following information is extracted from the books of Adam Brothers.

	Start of the Year	**End of the Year**
Creditors	115,000	140,000

Additional Information

Cash purchased during the year	Rs 142,000
Paid to creditors	Rs 675,000
Purchases return and allowance	Rs 12,000

Required

Compute total credit purchases and total gross purchases.

Q.4. (Total 4 Marks)

a. Compute the amount of the net income with the help of the information given below. (2 Marks)

Capital at Start	70,000
Drawing	8,000
Additional Investment	18,000
Capital at End	80,000

b. Aslam bought merchandise for Rs 80,000 and sold it for Rs 85,000. Compute the amounts of his rate of markup and margin. (2 Marks)

Q.5. (Total 5 Marks)

Identify the error in the following transactions. The first has been done for your reference.

Transactions	Type of Error
An entry of sales was found missing in the sales record.	**Error of omission**
1. Goods sold to Ms Mubeen were wrongly charged to Ms Mubeena's account.	
2. Equipment purchased for sales counter was wrongly charged to the store supplies account.	
3. Goods purchased from Danish on credit is credited to Danial account.	
4. Goods sold to Mr Faheem were wrongly recorded as Rs 15,000 instead of Rs 1,500.	
5. Goods sold to customer on cash was recorded as debit sales and credit cash.	

Q.6. (Total 5 Marks)

Prepare the correcting entries for the identified errors in Q.5.

Date	Particulars	P/R	Debit	Credit

Q.7. (Total 10 Marks)

a. State THREE purposes of establishing a non-profit organization. (3 Marks)

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b. List any THREE types of non-profit organizations. (3 Marks)

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c. State the NPO's alternative for the following terms used by profit-based business. (4 Marks)

Terms in other business	NPO's Terms
Profit or gain	**Surplus**
Loss	
Income statement	
Balance sheet	
Sales revenue / commission income	

END OF PAPER

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Please use this page for rough work